Dr Reddys Laboratories Ltd

DRREDDY | Healthcare - Pharmaceuticals | Mid Cap

Latest fiscal year: 2024 | Peer set: Pharmaceuticals (curated peer group, 5 companies) | Generated: 2026-10-26

1. Snapshot

Rs 28,011 cr Sales	**Rs 5,578 cr** Net profit	**19.7%** Return on equity	**19.9%** Net profit margin
0.07x Debt-to-equity	**12.6%** Revenue CAGR	**11.7x** P/E ratio	**Rs 2,441,803 cr** Market cap

2. Financial health score

92.5

Grade A - Strong

out of 100 | data coverage 100%

Ranked 15 of 91 companies by score

Pillar	Score (0-100)	Weight used	Points added
Profitability	99	30.0%	29.8
Leverage	100	25.0%	25.0
Growth	92	25.0%	23.0
Cash quality	73	20.0%	14.7

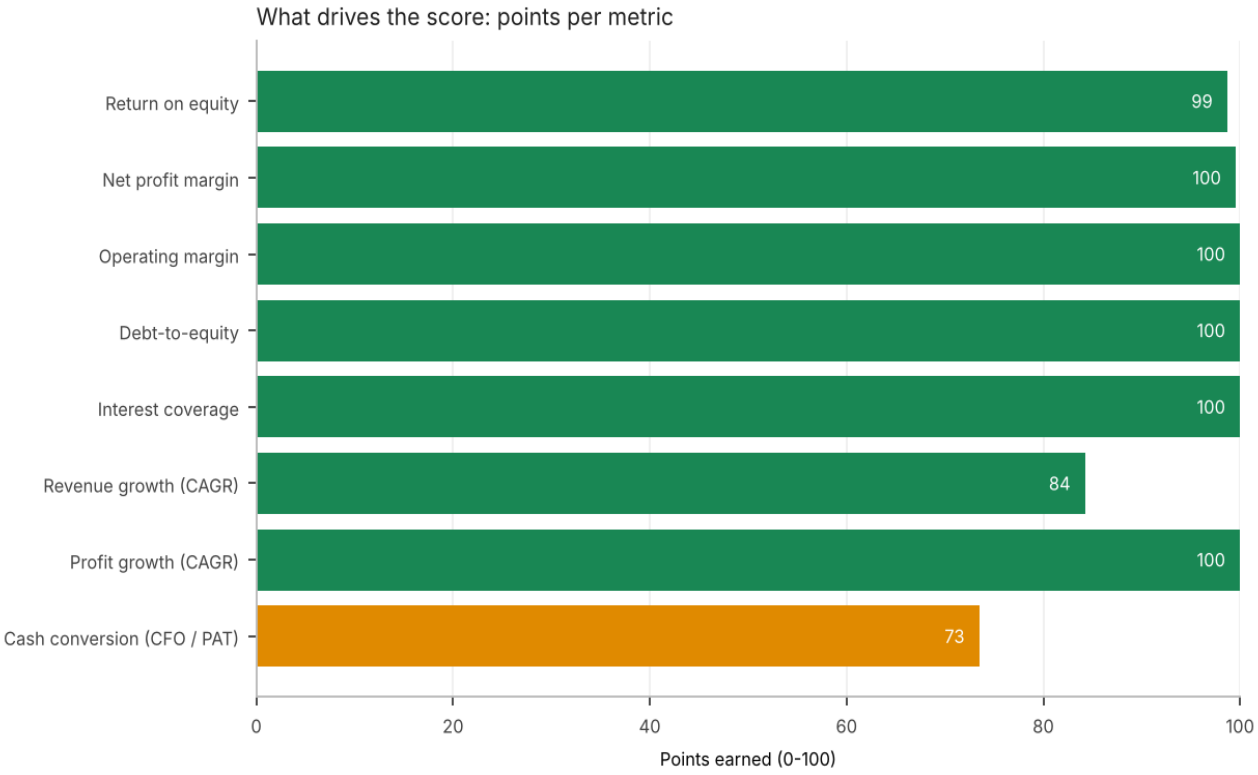
How the score is built

Metric	Value	Points	Nominal weight	Weight used	Contribution	Note
Return on equity	19.74%	99	12	12.0%	11.8	Profit earned per rupee of shareholder capital; 20% or more earns full marks, 0% or less earns none.
Net profit margin	19.91%	100	9	9.0%	9.0	Share of sales kept as profit; 20% or more earns full marks.
Operating margin	28.32%	100	9	9.0%	9.0	Core operating profit as a share of sales; 25% or more earns full marks.
Debt-to-equity	0.07x	100	15	15.0%	15.0	Borrowings per rupee of net worth; 0.3x or lower earns full marks, 2.0x or higher earns none.
Interest coverage	43.11x	100	10	10.0%	10.0	Operating earnings relative to interest; 8x or more earns full marks, 1x or less earns none.
Revenue growth (CAGR)	12.64%	84	12.5	12.5%	10.5	Compound annual sales growth over up to 5 years; 15% or more earns full marks.
Profit growth (CAGR)	23.39%	100	12.5	12.5%	12.5	Compound annual net-profit growth over up to 5 years; 20% or more earns full marks.
Cash conversion (CFO / PAT)	0.81x	73	20	20.0%	14.7	Operating cash flow per rupee of reported profit; 1.0x or more earns full marks, 0.3x or less earns none.
Total			100	100%	92.5	Sum of the contributions above.

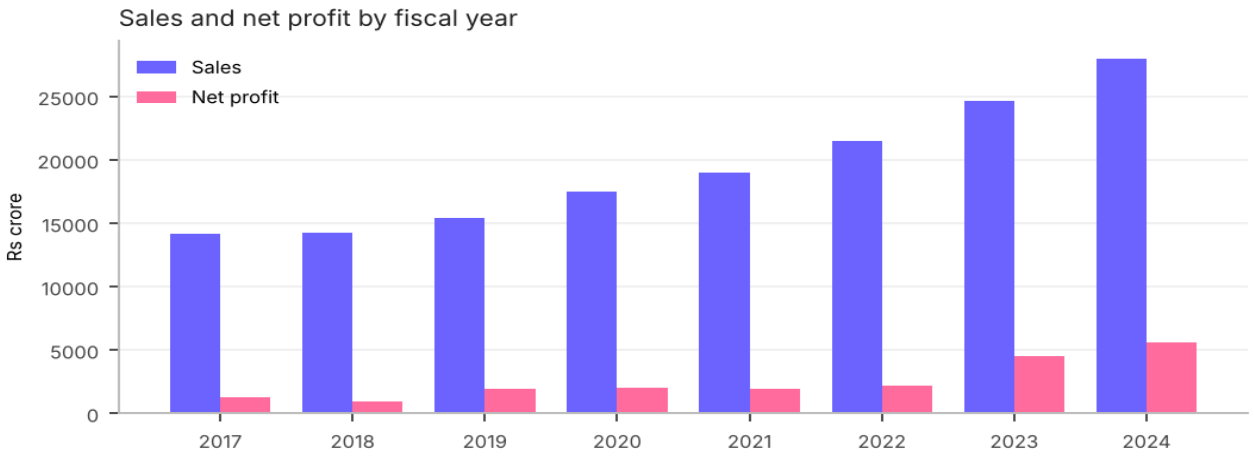
Strengths

- Debt-to-equity: 0.07x (100/100 points)
- Operating margin: 28.32% (100/100 points)
- Profit growth (CAGR): 23.39% (100/100 points)

Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.



3. Sales and profit trend



4. Peer benchmarking

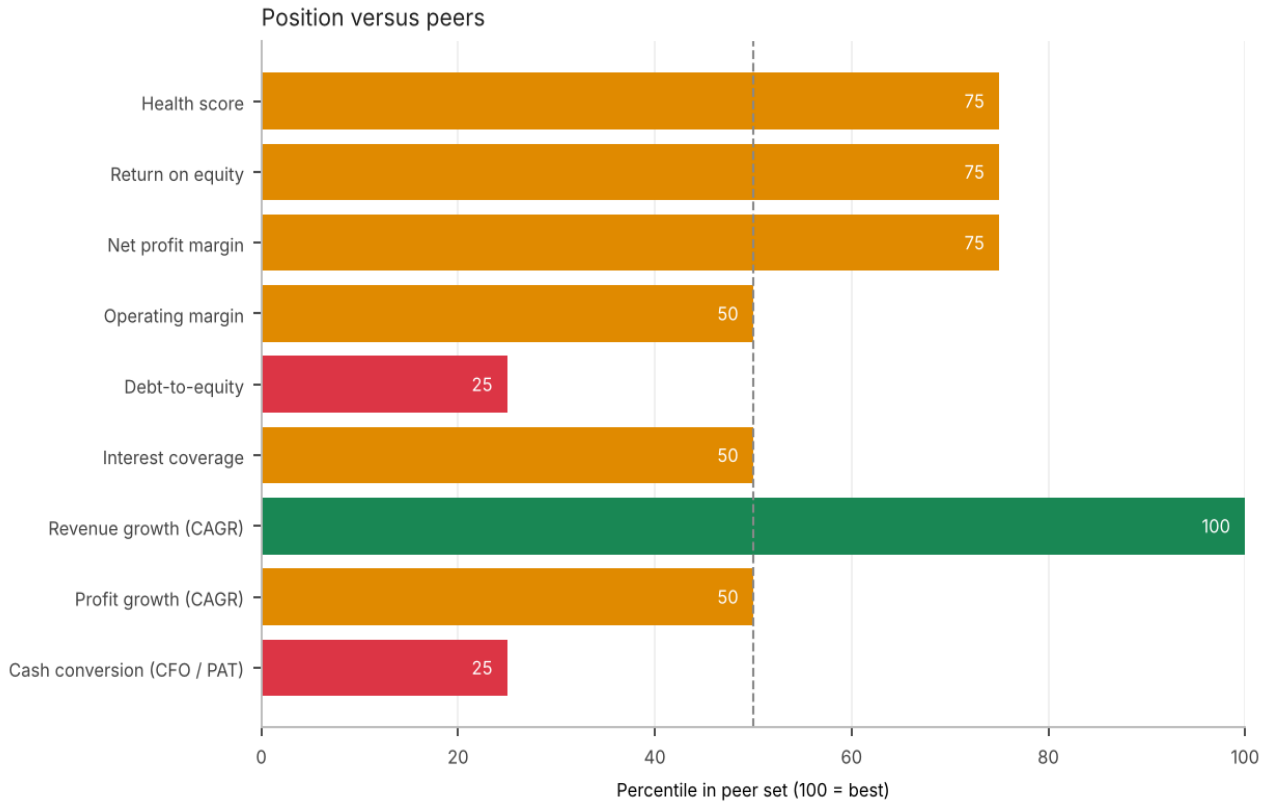
Compared with 4 peers in the curated peer group 'Pharmaceuticals': CIPLA, DIVISLAB, SUNPHARMA, TORNTPHARM.

Metric	Company	Peer median	Difference	Percentile	Rank	Verdict
Health score	92.50	89.55	2.95	75	2 of 5	Above peers
Return on equity	19.74%	15.32%	4.42%	75	2 of 5	Above peers
Net profit margin	19.91%	17.97%	1.95%	75	2 of 5	Above peers
Operating margin	28.32%	29.78%	-1.46%	50	3 of 5	In line
Debt-to-equity	0.07x	0.04x	0.03x	25	4 of 5	Below peers
Interest coverage	43.11x	29.46x	13.65x	50	3 of 5	In line
Revenue growth (CAGR)	12.64%	9.59%	3.05%	100	1 of 5	Above peers
Profit growth (CAGR)	23.39%	23.63%	-0.24%	50	3 of 5	In line

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Metric	Company	Peer median	Difference	Percentile	Rank	Verdict
Cash conversion (CFO / PAT)	0.81x	1.13x	-0.31x	25	4 of 5	Below peers
P/E ratio	11.73x	53.08x	-41.34x	n/a	-	Valuation multiple: shown for context, not ranked.

Percentile = share of other peers the company beats (100 = best; for debt-to-equity lower is better). P/E is shown for context and is not ranked.



5. Data-quality warnings

Data reliability: **Medium** (0 errors, 1 warnings in the most recent 3 fiscal years and any undated checks). Rating rules: Low = at least one error, Medium = at least one warning, High = none.

- [WARNING] balancesheet: 1 row(s) (Sep 2024) do not fall on the company's fiscal year-end month (Mar); treated as part-year data and excluded from annual analytics

6. Methodology

All figures are taken from the latest full fiscal year in the project database (db/nifty100.db). Half-year rows, TTM rows and rows with malformed period labels are excluded; duplicate rows describing the same fiscal year are collapsed.

Indicator formulas

Indicator	Formula
Return on equity	net profit / (equity capital + reserves) x 100
Net profit margin	net profit / sales x 100
Operating margin	operating profit / sales x 100
Debt-to-equity	borrowings / (equity capital + reserves)
Interest coverage	(profit before tax + interest) / interest
Revenue / profit CAGR	(end / start)^(1 / years) - 1 over up to 5 years (minimum 3); profit CAGR only when both ends are positive
Cash conversion	cash from operations / net profit (only when profit is positive)

Scoring thresholds and weights

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Pillar	Metric	0 points at	100 points at	Weight
Profitability	Return on equity	0%	20%	12
Profitability	Net profit margin	0%	20%	9
Profitability	Operating margin	0%	25%	9
Leverage	Debt-to-equity	2x	0.3x	15
Leverage	Interest coverage	1x	8x	10
Growth	Revenue growth (CAGR)	0%	15%	12.5
Growth	Profit growth (CAGR)	0%	20%	12.5
Cash quality	Cash conversion (CFO / PAT)	0.3x	1x	20

- Points between the two thresholds are interpolated in a straight line and clipped to 0-100. Grades: A (75+, Strong), B (60+, Healthy), C (45+, Moderate), D (30+, Weak), E (0+, Distressed).
- A missing metric, or one excluded because the computed value is outside a plausible range (a sign of bad source data), is dropped and the remaining weights are re-scaled to 100. If less than 50% of the applicable weight has data, the score is withheld.
- Banks, NBFCs and insurers are not scored on leverage, interest coverage, operating margin or cash conversion, because those ratios are not comparable with industrial companies. Their score rests on fewer metrics, so compare them with their own peer group.
- Peer set: the curated peer group from the database if it has at least 3 members, otherwise the broad sector. Percentile is the share of the other peers the company beats, with ties counted half; interest coverage is capped at 100x for ranking.
- Data reliability is derived from the data-quality monitor: missing values, duplicate periods, inconsistent period labels and implausible metrics.
- Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.

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